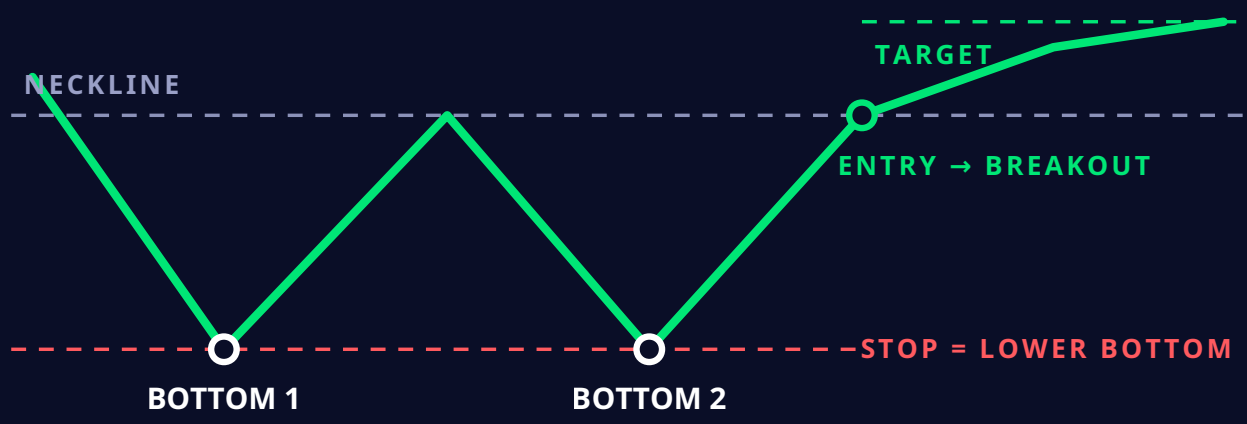
THE SETUP — EP 1

The Double Bottom.

A double bottom is a **W shape**: price falls, bounces, falls back to roughly the same low, then breaks above the middle peak — **the neckline**.



ENTRY	STOP	TARGET
On the breakout	**The lower bottom**	**Neckline + height**

Entry, exactly as we tested it: the next open after the first close above the neckline. **Stop**: the lower of the two bottoms — a trade through it ends the trade. **Target**: the neckline plus the height of the pattern.

> ***The pattern is the easy part. The stop is the strategy.***

LOCKED BEFORE THE RUN

The rules we locked before running it.

Every rule below was written down **before** any results were seen — and none of them were loosened afterwards. If the pattern produces few trades, that is the finding.

1 Two bottoms, nearly equal

Two swing lows within **2%** of each other, at least **10 bars** apart.

2 The neckline

The **highest intervening high** between the two bottoms. Price has to close above it — a wick through it is not a breakout.

3 Entry

The **next open** after the first close above the neckline. No guessing, no jumping the signal.

4 Stop and target

Stop = **the lower bottom**. Target = **neckline + pattern height** (the measured move). Whichever price is touched first ends the trade.

The scope, printed on the record.

SPY, QQQ, NVDA, AAPL, TSLA — daily charts, Oct 2021–Oct 2026. $10k per asset, long-only, one position at a time, $1 commission per side, 0.05% slippage per side. Headline results use pure pattern exits — no time cap. The capped variant is disclosed on the next page.

5 YEARS, BY THE BOOK

The receipts.

Five assets, five years of daily charts, the rules from the last page — run exactly as written.

21	13
TRADES TOTAL	HIT THE TARGET — 62%
6	**2**
STOPPED OUT	STILL OPEN AT DATA END

13 TARGETS + 6 STOPS + 2 OPEN = 21 TRADES. EVERY ONE ACCOUNTED FOR.

Win rate: 61.9%. In this run the wins and the target hits are the same 13 trades — nothing that stopped out or ran out of data finished in profit.

Disclosed variant: with a 20-day cap on every trade, the same rules produced **23 trades** with **60.9% wins**. The cap is not the headline — it is on the record because hiding it would be easier.

THE HONEST KICKER — BUY-AND-HOLD STILL BEAT IT ON 4 OF 5 ASSETS. TSLA WAS THE EXCEPTION.

A pattern can hit its target 62% of the time and still lose to simply holding. Hit rate is not the same thing as making money — position maths, not pattern shape, decides that.

FROM THE EPISODE

The two trades.

THE WIN — AAPL · SEP–DEC 2023 +8.6%

BOTTOMS	167.62 (Sep 28) · 165.67 (Oct 26) — 1.16% apart
NECKLINE / STOP	182.34 / 165.67
ENTRY	182.96 — Nov 9 open, after the Nov 8 breakout close
EXIT	199.01 — Dec 14, target hit · +0.93R

THE FAILURE — SPY · DEC 2021–JAN 2022 −6.0%

BOTTOMS	448.92 (Dec 3) · 451.14 (Dec 20) — 0.49% apart
NECKLINE / STOP	472.87 / 448.92
ENTRY	476.98 — Dec 29 open, after the Dec 28 breakout close
EXIT	448.92 — Jan 20, stopped out · −1.00R · target 496.82 never reached

R = the amount risked per trade. +0.93R means the win paid 0.93× the amount put at risk; −1.00R means the loss took exactly the amount risked — the stop doing its job.

Same pattern. Same rules. This is the half nobody posts.

Both examples were selected after the run, from the logged trades only — the win because it reached the target, the failure because it stopped out. Nothing was re-run to find them.

THE VERDICT

It hit its target 62% of the time — and still lost to holding.

That is not a reason to skip the backtest. It is the reason to run one. The double bottom, tested honestly, tells you exactly what it is worth — no cherry-picked charts, no survivorship, no rules quietly edited after the fact.

What this breakdown showed

- The pattern: a W, a neckline, a breakout — page 1.
- The rules, locked before the run — page 2.
- The receipts: 21 trades, 13 targets, 6 stops, 2 open — page 3.
- The win and the failure, drawn the same way — page 4.

Follow @dotoncharts — one honest backtest a week, receipts included.

Comment **SETUP** on the episode and this file is the one you just read — pass it to someone who trades patterns on vibes.

Source: Doton Charts double-bottom study, Oct 2026 — rules locked in writing before the run; every figure on these pages re-derived from the logged trades. Full study in the Doton Charts backtest archive.

Not financial advice — education only.